

27-May-2020

Zoetis, Inc. (ZTS)

Stifel Virtual Jaws & Paws Conference

CORPORATE PARTICIPANTS

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

OTHER PARTICIPANTS

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

MANAGEMENT DISCUSSION SECTION

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Great. Thanks. Good afternoon. Next up, I'm happy to introduce Kristin Peck, Chief Executive Officer of Zoetis, the world's number one animal health company and one of our topics in animal health for most of the past several years. I've got a long list of questions in front of me that I'd love to run by Kristin. I'm going to get right into it.

QUESTION AND ANSWER SECTION

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

And just kick off with companion animal, the data we're looking at, Kristin, sort of suggests the market's bouncing back relatively well. We had our checks out last night. IDEXX put out some industry data as well. And so, maybe we can just start there, a high level, just your thoughts on where the companion market – companion animal market – pardon me – is today versus maybe a month ago.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Sure. First of all, thanks for having me today, Jon, and for organizing this conference. It's great to connect with some of our investors even if it's virtually today. So, we are seeing very consistent data to the report that you've put out, Jon. We are seeing significant improvements across the US in vet visits. Some geographies, honestly, back to normal levels. And some others, maybe down 5% or 10%. But largely getting back to where it was, which is a significant improvement over where we were a month ago. It's about versus our expectations, maybe a week or two faster. We were expecting this probably early to mid-June. So, we are – it is about a week or two faster than we expected in the US.

Outside the US, it's a little more uneven. We've got some really strong one – I'd say a few weeks ahead of where we expected in, say, Germany, but probably a little slower than we expected in some geographies such as the UK. So, we continue to see just – return to the clinics, really has been a focus on the wellness visits, that have

backed up. So, a lot of wellness visits that people have deferred for a month or two. So, we're excited to see that market really coming back and we are seeing consistent data with what you had mentioned.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. That's great color. I think maybe just to push you a little bit, in the 2020 guidance, you guys gave a wide band with everything that's going on understandably. So, Glenn talked about the high end of the 2020 guidance, reflecting companion animal visits returning to more normalized levels and livestock producers were turning to full operations. I don't think the latter is going on, we'll touch on that. But for companion animals, is it fair to say that as we sit here today, you have more conviction that current companion animal trends are sort of more emblematic, if you would, at the higher end of your guidance?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. I mean, the only thing I would caution is there's – if we hit a second wave, we're back into quarantines in the fall. And so, I would say, if things continued and didn't change, then yes, that would be the case, as Glenn had mentioned on the last call. That's what we're looking for to be at the high end of the range. So, if we don't see a second wave in the fall, we think on the pet care companion animal side, certainly in the US and mostly in Europe, they're – have been a little slower than the US, but still week-over-week improvement. So, that is what we were looking for and we are overall pleased with that.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay, great. Second topic, Trio. You lowered the 2020 revenue expectations from \$150 million to \$100 million to \$125 million, just sort of a little unfortunate in terms of the timing. The product was approved right around the time that companies were pulling reps from the field. So, maybe let's start there, Kristin, just please talk to how your reps are educating the veterinarians on the top product about the product from a remote setting?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. We remain really excited about that launch. As you know better than anyone, this is one of the largest markets in animal health, say, pet care, parasiticides market. So, it's a big opportunity. There was a lot of anticipation for the product. So, in fact, we're very excited to get it. So, as we saw – we – unfortunately, the timing of this launch with the pandemic was not so opportunist, you rightly noted. The good news was vets were excited and they stacked the product. The challenge we saw was obviously with the pet owners not coming in and reductions of 20% to 30% in a key launch even for parasiticides, as you know, that was sort of hard.

And the other thing we've been working to overcome and we've got some answers to is where the vet visits were coming in, they were curbside drop-off. So, there's less engagement between the pet owner and a vet to actually switch somebody, so – whereas I think we've seen strong start of new puppy, new dog, new dogs at the clinic sales. It's been a little harder to switch customer because there's just less of that one-on-one conversations. But what we're excited about is we launched our direct-to-consumer advertising both digitally and through television, I'm sure you've all been seeing them. With all the time everyone has been at home now.

We're hoping that we'll get more pet owners coming in asking for the product. So, that was the reason why we moved from the guidance of \$150 million originally to the \$100 million to \$125 million. It was obviously some lost doses and visits in the middle of the quarantine. And then, just getting that better interaction between the vet and

the pet owner to do the [indiscernible] (05:10). So, we continue to see excitement from the veterinary side and new pet owners – good experience with pet owners who are getting it, but we're trying to really focus on the [indiscernible] (05:19).

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. So, interesting comment that you made, I didn't think about that, but in terms of the curbside pickup and not having the full engagement that you would between pet owner and veterinarian, how about the decision to price Trio, running some screens that we do on Chewy, et cetera, we see Trio had a slight discount to call up the industry-leading combo of NexGard and HEARTGARD. So, one, is that accurate? And two, just – is that pricing in place in order to, call it, maximize share gains over the next 6 to 12 months?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Yes. That pricing is accurate and that was the intent. It was just to remove any – well, I don't want a more expensive product barrier to the gain of market share and just switching people. So, our point is we think we have the better product overall. We have the easier to use product, one simple dose. And we just wanted to remove that while it's more expensive or it's the same price, why do I switch, to take it away. But we think it's a premium product. So, we're very comfortable with where the pricing is right now and your analysis of it is accurate.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. And couple more in Trio. Feedback I got from investors, quite honestly, when you lowered the 2020, people didn't care, I mean we all understand in the COVID environment. So, the feedback was, hey, it's not a big deal as long as there's not a triple competitor around the corner because COVID unfortunately threw your curveball for 2020. Just sort of a high-level question, what are you hearing in terms of timings of other players? Do you believe any one's close or do you think it's possible that we get into 2021 flea and tick season and you're still the only player out there with a triple combo product?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

It's a great question, Jon. And I so wish I had a better answer to it than I do. I mean in our industry there – it's not – these aren't public things and we compete against a few private companies and companies that are divisions of large ones. So, there's not a lot of like robust external data or insight into this. What we're hearing through our channels, strategic accounts, pressure, whatever, our sense is that we don't have a competitor in 2020. Do we have one in 2021? I like to be a little paranoid as a strategy. I assume we'll have one. I don't know – I mean the longer we don't, the better off we are. And that's why our focus has been and I know there was some questions and I'm sure you'll get there, why didn't we have – couldn't we cut more costs and get better earnings with a reduction in revenue. And the answer is we're putting full court press to gain share on this product, get people using it happy with it, get customers loyal, because I don't know when a competitor is coming. Is it Q1 2021, Q2, I honestly don't know, or after. But I think we need to assume that someone is coming, even though I don't have any data that says when or who or if. But we'll operate as if that will happen and we're aggressively going to try take share as best we can.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. And the piggyback of that when you take – aggressively take share, sort of flea and tick in parasiticides is one of the only areas, very few areas of animal health where Zoetis is the sort of under indexed, right, as the market leader. And maybe your, I don't know, mid-to-high teens of what arguably is the biggest market in animal health. So, when we look out, where do you think Trio can take you from a parasiticide market share perspective over a prolonged period of time?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

I mean, look, we think we should have a similar market share that we do to the overall market in our view, if not higher, given our strength in the channel. We were just behind, honestly, in having the right portfolio to do that. So, I also think we're talking a lot about Trio, but ProHeart 6 and ProHeart 12 which we launched, is also an excellent component to that, that can be combined with regular Simparica. So, we really are looking at this overall play in getting overall to our fair share – a similar share that we have in other spaces in animal health. And I think we are underrepresented here. And given the strength of the rest of that portfolio, I don't see any reason why we couldn't at least get back to our fair share of this.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. And I'll throw you sort of a live one coming off our Web panel earlier this morning, sort of real time, one of the doctors was looking forward to Trio and want to do [indiscernible] (09:24) in 2021. But you alluded to the fact that you still got decent amount of inventory, I'll call it, Duo, or at least I'll call it Duo. And talk about – that was an interesting point, if Zoetis had a buyback program, then it would move more aggressively to Trio in the near term. And when I think about that, if you guys were to put that in place, you might still get the incremental revenue from heartworm component. So, is any of that in place or is it still too early to go down that road? I'm just sort of wondering how you, guys, as an organization is dealing with some of the inventory that might be out in the marketplace for Simparica.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah, it's an interesting question. And honestly, we haven't thought about that. We instantly have not heard that from vets to-date. And part of that is because switching has been hard so sometimes we're just keeping them on ProHeart and Simparica. And certainly that's to be very honest with you for specific reasons, they are really concerned with compliance and so they're going to give ProHeart 12 and Simparica anyway because they are sure they got covered on heartworm under ProHeart 12.

So, we haven't heard of it. If it becomes an opportunity we can certainly assess it. And I think the larger issue we're facing right now as you saw from some of the earnings reports and some of our competitors was the loading of the channel of competitive products as well. So, I haven't heard as much of the Simparica too much inventory. But certainly, we'll look at any opportunity that comes our way.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. Great. I want to pivot over to livestock. There's so many different data points that is always out there and it's hard I believe from my seat to know what really matters for your livestock business, for the livestock market in general. Last time we published some of those metrics that we track from the USDA. We also published dairy pricing. And from those two metrics, it looks like the livestock business at least cattle continues to be pretty difficult. Maybe if you can tell, Kristin, just at a high level what are the one or two or three metrics that investors

should really be on the lookout for when they think about your livestock business to try to identify when the pressure points might be easing a bit?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. So, taking a step back on our livestock portfolio, 40% is US and 60% is ex-US. And I know there's understandably always a lot of attention for all of us in the US as what's happening in the US. But I start with it's 60% ex-US and then it's diversified across species. The larger segment is clearly cattle, which is both split out between beef and dairy as you know, and then you've got pork, poultry and aquaculture. And putting aquaculture aside which was less impacted by some of what we're talking about right now, I think the trends are really different across those and this is one of the advantages Zoetis has is that we're very diversified both geographically as well as by species and then by species by geography.

And so, look, if you start with poultry, I think poultry had a short-term hit both as we expected it to rebound by the end of Q2, the hit was as you move from the large trend of 50:50 dine-in, dine-out to an 80% to 90% dine-in scenario. Supply chains had to realign from sending 50 pounds of chicken in a box to packaging for supermarket consumption. And so you saw shortages sometimes in livestock just on just figuring how to realign the supply chain to package for grocery stores as you know. So that was sort of one. They figured that out largely now. The one that came as sort of a surprise at the end of March, April was some of these emerging issues in packing plants. But again back to diversification. That's a US and Canada issue and I do think it will sort itself out by the end of Q2 in North America, so that will solve itself.

So, you're left with in my view two underlying trends as you look at sort of chicken, pork, beef and dairy, which is first the recession, what generally happens in a recession which means people will trade down a little bit in proteins as they're either unemployed or they're unsure of the economic situation. And we have good models for that from previous recessions and in that it goes down, but still grows call it 1% to 2% historically, that's what's happened. But I think what makes this different is the combination with just the disappearance of the majority of dine-out. So, people consume more beef and more dairy when they're at stadiums having cheese burgers or hot dogs or eating out steak restaurants, they just eat differently. And so when does that return and what does that look like.

So, we're expecting globally that poultry largely is bouncing back pretty quick and I think you'll see that once we get past the US packing plant issue. People will be eating and they might lose some of their consumption to culture. Pork has been I would say – similarly there has been as you know once you fix the packing capacity which is causing huge hurt to our customers right now as the price of pork is just [indiscernible] (00:14:21) since they didn't have capacity for the animals. Once you saw – that was again, that's a short-term issue will be solved, you've got the tailwind of African swine fever in China.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Correct.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

So as long as China exports stay strong, again they have a huge need for pork and it's been very strong. Even throughout the pandemic, the export market to China from the US and many other geographies, Brazil, et cetera, has been strong. I think pork does fine. So, I think what you want to watch on pork which is the figure of pork is

the export market there and specifically China really driving that. And we're watching the global, so if someone else drove that then we're shipping to somebody else. But I think that's what really is the [indiscernible] (00:14:57) in this one for pork overall. Again, people might also trade down there, so I think pork will be okay.

So, the sort of more medium-term concern is how fast can you ramp back up a dine-out world that fills some of that gap in beef and dairy. Dairy is getting a little better if you look at milk futures right now. Producers made smart decisions and cut production. So, we've managed price a little bit. So you may see what we're seeing as temporary culling of animals, so maybe there's a reduction of 1% in animals. Again, these aren't huge percentages, but you're going to need some short-term reduction to get that market back. And because it takes a while to bring cattle and to change that dynamic, you're probably one to two years from a full recovery assuming we get a sort of a more normal understanding of what demand will look like for dine-in, dine-out before I would say beef and dairy fully recover. But dairy can manage more in the short-term with supply of milk. Beef is going to be a little more challenged.

So I think what you're watching is where does the dine-out market overall go [indiscernible] (00:16:00) just watch some of the numbers of animals, which isn't perfect but it's definitely a proxy. We're seeing for some of these producers they'll just keep animals on pasture longer, which is less use of our products overall as you know or they trade down from a premium product like Draxxin to a less efficacious one because they just can't afford it. So, we've got all of that baked into the guidance we gave for the year. And our assumption is that sort of how it plays out. If it's significantly worse, we can certainly talk about it. But if they are obviously dealt, that's better as well.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. Okay, great. A lot of very good color there. And maybe just a few follow-ups specific to livestock and then we'll move on. But at the time of the call, Kristin, you talked about the packing plant capacity, again, this is US-centric all by about 15%, is that still where we are today give or take or has that already started to improve here in the second quarter?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

It's already improved. I think we were at about 15% when we spoke. I think in its worst, it was 20%, 25% and some regions are 30%. But it's now pretty much for pork and poultry at around 10%, so it's improved since that point. Again, it's a little sporadic week-to-week if you watch in the news report.

I would say beef is probably a little lower, maybe at 10% to 15%. But I think they'll be at 10% from what my sources say by probably maybe next week or the week after. So call the US and Canada which is in a similar situation honestly at about 10%. We think it'll work its way out as we get through middle to end of June. So as we kind of said in last call, we do think that this dynamic should work itself out by the end of our Q2.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay and maybe just one last one on livestock. Earlier we were talking about companion animal, we talked about a lot of the favorable trends that we've seen recently. You agreed but then you also called out hey look that's a North American thing, it's not quite the same story in all international markets. Is it a little bit more the inverse year on the livestock side of things? In other words, everything front and center on packing plant capacity and the

USDA numbers that were difficult on cattle placed on feed. That's all specific to US, are you seeing the opposite dynamic where livestock is getting its act together maybe a little bit quicker OUS versus US?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. We are seeing – again, you got to break it down by species. There's a few markets that are really big in beef to be honest with you. So if you look at Europe, really there you're going to see much more pork and poultry than you're going to see cattle. And those are bouncing back much better. So, as you look at ex-US livestock to your point, it actually does do better. Australia is bouncing back much better here and the drought has been better. So their cattle market should be improving.

So that's why I say like the diversity of our portfolio and the diversity of geographies. I don't even know what to say about Brazil and how they're approaching this thing, but they're keeping that market running and they're exporting big numbers. So, Brazil is from a livestock perspective doing well and probably from a COVID perspective not so much. But this is why I would say to your point I do think international, there is still challenge but not at the same level as you've seen in the US. But it's much more a local dynamic, what are the species that each market is really focused on and then how are they doing on that and how they are managing it. So, we do see the diversification of our portfolio remaining its strength by species, by geography and with 50% of livestock ex-US it does help a little bit versus some of the more acute dynamic that you're seeing in the US.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Got it. Probably I'm going to try to work our way down the P&L and still get to a couple of other topics. So I want to jump over to operating expense. Between 2015 and 2017 – and I know we don't have Glenn with us but I'll lay out some numbers. OpEx as a percent of sales came down notably from around 37% of sales to 32.4%. But it was flat as a percent of sales between 2017 and 2019. And the company did a lot of things during that time, I mean, you bought Abaxis. You had some very successful DTC campaigns along the way. I'm just curious at a high level how we should think about OpEx going forward. Is that still a line item that you think you can leverage in 2021 and 2022 assuming market growth returns to, call it, normalcy?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. I mean, when you – your numbers look [indiscernible] (00:20:14) what you were talking about. From 2015 to 2017, we have completed the spin up and we're really focusing on operational efficiency initiatives and that's where you saw the more significant reduction in our overall cost base. But over the last couple of years, we've been investing in the core portfolio. We've been really growing our derm franchise, launching Simparica. We've also invested in diagnostics and continuing to invest in profitable growth in our livestock business. We are investing in some of these digital and data businesses such as SMARTBOW.

And if you look at even this year I think we're launching significant new products with Trio and investing strongly behind that with a very strong portfolio behind that in monoclonal antibodies for both chronic pain in cats and dogs. So we then also do really prepare ourselves for the launch of Trio and the mAbs and the expansive diagnostics expanded our US companion animal field force by 10%. But you've also seen much higher growth rates than have been – than historical growth rates on the top line really moving up 1% or 2% higher. So beyond 2020, we see R&D to grow in line with revenue overall. From a G&A perspective, we are really happy with our current footprint. We don't think that that should grow any faster than inflation.

But if you look at selling and marketing, we expect it to be somewhere between R&D and G&A as we invest behind significant product launches such as Trio and our upcoming mAb. So that's sort of how we're seeing the numbers overall. We're excited of the innovative portfolio that we have right now and that we're foreseeing over the next one to two years, and our focus will be to invest behind that. So, hopefully that gives you a sense when you look at sort of OpEx I mean across the category.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Yeah. No. It certainly does. That's great. I know in your gross margin as well because the thing about gross margin arguably should have a natural talent to it why the higher-margin companion animal group business grows faster than livestock. And even in companion animal, you can sort of say, well, look the novel therapeutics such as the derm portfolio and like Trio, that's even growing the fastest within companion animal. So, is that, one, Kristin the right way to think about it? And the other part of that question which has been what are Trio gross margins roughly at scale [indiscernible] (00:22:35) going to be lower this year as you ramp up the product, but is that a 75% gross margin product once you get closer to scale?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. We have been to your point, some very nice gross margin expansion over the last few years. A few things I would say are driving that, first, price. As you've seen over the last few years, we've taken about 2% price per year. We've also been really focused and I think our manufacturing and supply has done a great job around cost reductions and our supply chain and our product. Mix has been favorable for us, more coming out of companion animals, then livestock has been positive and even which product.

And then certainly we've seen some favorable foreign exchange. As you look at gross margins going forward, our companion animal gross margins are higher than livestock as we talked about and as you see an evolution of getting, as we talked about earlier, more of our fair share in companion animal, we'll see those – that'll obviously be a nice tailwind for our companion animals to achieve some of the growth.

Trio's gross margin will improve over time and it should be very consistent. Scale really does matter and this is a launch year. But overall, we are expecting Trio to have a very strong gross margin as we move forward, similar to other products in our portfolio in companion animals. So a very strong gross margin.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

[indiscernible] (00:23:57) for Trio at scale?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

I don't think we're going that specific but you can say it's very good.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. [indiscernible] (00:24:05) I'm very good. Thank you. I will move away from the P&L. I'm going to go on over to diagnostics. Maybe let's just start with where is your entire diagnostic portfolio? Where does it stand today versus when you closed the Abaxis acquisition 18 months to 24 months ago? You clearly invested around it, cobbled together some reference labs, you had integrated software, I think that took you longer. But maybe just

give us an update of hey, Jon, here is diagnostics where it sits today May of 2020 versus what we had when we first tip our toe in the water.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. So, when we first entered in a big way the diagnostics market with the acquisition of Abaxis we said look, as we look at Abaxis, we need to clean up the US portfolio, fix connectivity, will probably go a little bit of market share but that's a highly competitive market. We think the big upside in that deal was international where it was much more a blue ocean, much more competitive with less dominant players over there. I would say that value story has largely held.

We've done – we're very pleased with the ramp up in international, the placements we're getting and as we're starting to gain market share in international. So I think that story is holding in international. The US story of – it's going to be a battle for every point of market share has been true. As you know, [indiscernible] (00:25:28) about before connectivity was a little more challenging than we expected. We are now making the progress we expected and we're quite pleased with where we are in that – overall in the US and globally as we manage that. But the US has a dominant player as we all know. It's a competitive marketplace and really only 10% to 15% opens up in a year. We were excited and we saw a great customer interest in our Freedom Flex program, which was combining our point of care diagnostic with our core portfolio. So [indiscernible] (00:25:59) with reference lab as our – some of our competitors do really looking at it with us committing to adding a product you might not use like a new vaccine to finance that. And that's been exciting.

But as we were about a year into it, it became clear that breaking this sort of reference lab, point of care was getting challenging and if we could be in reference lab we'll find a way to get some scale that would be real value to our customers because diagnostics is really synergistic with our core portfolio. Being able to better diagnose helps you better decide what treatments to use. That data can also help us overall in our research. So, diagnostic is really critical to us. It's critical to the vets making the best healthcare decision.

So given it was fundamental, we looked at models to gain scale and reference lab and could we do it. We are confident we can and we're excited about the progress we're making overall in US. We plan to look at a similar strategy in international, which is a combination buy and build. But as we said when we did this, we went with a three to five-year strategy, really getting to scale and geography before expanding. So, this remains really critical to our continuum of care strategy.

We are very pleased with the value proposition we initially entered with has maintained. I think we would have liked to have gone a little faster in connectivity in the US, it's still frustrating customers in the first year or so. But we're quite pleased with where we are there and we continue to see this as a exciting opportunity in a fast growing market. It's growing faster than overall animal health, to invest and grow our business and really see it as synergistic with our core portfolio.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. And maybe just one more there. When you think about the keys to winning, what's more important, Kristin, and maybe it's both but is it, hey, we had point of care, we clearly needed a reference lab with the way this market functions? Or is it you know, what bundling with therapeutics is something that we're ultimately going to have that that number one player does – does not, pardon me. So is it, hey, Jon we needed a more comprehensive diagnostics portfolio with a reference lab? Or is it in addition to that also the ability to ultimately bundle with therapeutics?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

We will always continue to bundle with therapeutics as well and we believe the customers should have choice to do however they wish. And so I think it's not an or, it's an and.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Okay. Couple of minutes left. So I want to make the most of it. Pipeline, Just talk to us about what else we should be really excited for? I think it's easy just for Trio to dwarf everything else. But I've been covering you guys for five years I think your pipeline is by far the most robust. When we gave veterinarians a blank piece of paper what they wanted to see, the number one writing was Trio and behind that was monoclonals for pain on feline and canine. The veterinarians this morning panel what I sort of said the open ended question what do you want, she called out pain for feline. So just talk to us on what else is in the pipeline, what else are you and Zoetis most excited about, and I'll stop there and ask one more follow-up.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Sure. So we are really excited about the portfolio. I give this credit to our R&D organization who has just been phenomenal and I think it's really doing what you said was connecting with the unmet medical need. So the first was really focusing on parasiticide. So we've talked a lot about Trio so I won't go any more there but I do want to highlight the 12-month injectable ProHeart 12 which vets are also really excited about, ensuring you have full compliance. They can inject that at the vet, no worries there. So that remains a really strong and exciting opportunity beyond just some of the parasiticide market and again that will continue to grow as well as we're launching new and additional markets over the coming months.

We're really excited on monoclonal antibodies for cats and dogs. You'll also see we're investing in infrastructure to grow our manufacturing capacity around monoclonal antibodies. We see this is a big opportunity overall to really provide incredibly efficacious and safe products to customers and especially in categories where honestly there wasn't any. But as you move beyond just cats and dogs, I think new immunotherapy could pave the way for alternatives to antibiotic and food animal. We're really excited about that and some of our research in Colorado State.

We're also really excited about some new innovations in diagnostics that we'll be launching and leveraging more of that with digital and data. And then in livestock, we're seeing technologies such as smart belts which really addressed what we're seeing today with the challenge on labor [ph] and the look (00:30:25) for more productivity at lower costs. So, we think there's a lot of exciting technologies program.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Great. And just in 30 seconds, when I think about Trio and then monoclonals in feline where those sales are [indiscernible] (00:30:40) but you've been losing share there anyway, a lot of incremental revenue opportunities. If the market grow that you've highlighted it in the past of 4% to 5% is not permanently impaired and should be for COVID, can we think of high-single digit durable growth 7% plus for Zoetis over an extended period of time?

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

I think so much of our growth as you look at it is the right innovation. And so I think our ability to outpace our market growth of call it 4% to 6% over the long term is our ability to continue to out-innovate and I think what you've seen us continue to do is to out-innovate. I think we're really excited about some near term things in pet care and vector vaccines in poultry. And then I think over the medium horizon, really exciting things for livestock as well.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Okay. Kristin, thanks so much for your time. Thanks for joining us today. Best of luck for the balance of the year and look forward to catching up again soon.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Okay. Thanks so much. Great.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Take care.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

All right. Bye.

Disclaimer

The information herein is based on sources we believe to be reliable but is not guaranteed by us and does not purport to be a complete or error-free statement or summary of the available data. As such, we do not warrant, endorse or guarantee the completeness, accuracy, integrity, or timeliness of the information. You must evaluate, and bear all risks associated with, the use of any information provided hereunder, including any reliance on the accuracy, completeness, safety or usefulness of such information. This information is not intended to be used as the primary basis of investment decisions. It should not be construed as advice designed to meet the particular investment needs of any investor. This report is published solely for information purposes, and is not to be construed as financial or other advice or as an offer to sell or the solicitation of an offer to buy any security in any state where such an offer or solicitation would be illegal. Any information expressed herein on this date is subject to change without notice. Any opinions or assertions contained in this information do not represent the opinions or beliefs of FactSet CallStreet, LLC. FactSet CallStreet, LLC, or one or more of its employees, including the writer of this report, may have a position in any of the securities discussed herein.

THE INFORMATION PROVIDED TO YOU HEREUNDER IS PROVIDED "AS IS," AND TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, FactSet CallStreet, LLC AND ITS LICENSORS, BUSINESS ASSOCIATES AND SUPPLIERS DISCLAIM ALL WARRANTIES WITH RESPECT TO THE SAME, EXPRESS, IMPLIED AND STATUTORY, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, ACCURACY, COMPLETENESS, AND NON-INFRINGEMENT. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, NEITHER FACTSET CALLSTREET, LLC NOR ITS OFFICERS, MEMBERS, DIRECTORS, PARTNERS, AFFILIATES, BUSINESS ASSOCIATES, LICENSORS OR SUPPLIERS WILL BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL OR PUNITIVE DAMAGES, INCLUDING WITHOUT LIMITATION DAMAGES FOR LOST PROFITS OR REVENUES, GOODWILL, WORK STOPPAGE, SECURITY BREACHES, VIRUSES, COMPUTER FAILURE OR MALFUNCTION, USE, DATA OR OTHER INTANGIBLE LOSSES OR COMMERCIAL DAMAGES, EVEN IF ANY OF SUCH PARTIES IS ADVISED OF THE POSSIBILITY OF SUCH LOSSES, ARISING UNDER OR IN CONNECTION WITH THE INFORMATION PROVIDED HEREIN OR ANY OTHER SUBJECT MATTER HEREOF.

The contents and appearance of this report are Copyrighted FactSet CallStreet, LLC 2020 CallStreet and FactSet CallStreet, LLC are trademarks and service marks of FactSet CallStreet, LLC. All other trademarks mentioned are trademarks of their respective companies. All rights reserved.